EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2017, with comparative figures for CY 2016, are as follows:

Particulars	2017	2016	Increase (Decrease)
Financial Condition			
Total Assets	₱202,404,600.88	₱207,744,294.50	(5,338,693.92)
Total Liabilities	53,979,241.32	63,046,400.70	(9,066,159.68)
Total Government Equity	148,425,359.56	144,697,893.80	3,727,465.76
Results of Operations			
Total Income	₱115,719,714.68	₱144,610,946.50	(28,891,231.82)
Total Expenses	108,339,182.79	127,560,318.88	(19,221,136.09)

Particulars	2017	2016	Increase (Decrease)
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱128,616,980.04	₱ 160,292,504.27	(31,675,524.23)
Appropriations-Continuing	31,195,505.54	47,280,072.63	(16,084,567.09)
Allotments – Current	128,616,980.04	160,292,504.27	(31,675,524.23)
Allotments –Continuing	31,195,505.54	47,280,072.63	(16,084,567.09)
Obligations – Current	99,352,996.17	124,025,988.90	(24,672,992.73)
Obligations -Continuing	14,617,876.00	24,651,702.80	(10,033,826.80)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2017 due to the following:

1. The correctness and reliability of the Property, Plant and Equipment (PPE) account with a carrying amount of ₱70,437,234.28 as at December 31, 2017 could not be ascertained due to the variance between the balances per books and per physical inventory report amounting to ₱6,588,941.13 which is not in consonance with Section 111 (2) of PD No. 1445.

2. The accuracy and reliability of the reported Cash in Bank-Local Currency account balance totaling to ₱56,625,150.68 could not be ascertained due to (a) two bank accounts that were already closed were still included in the total cash in bank account; (b) previous years and current year bank reconciling items remained unadjusted in the cash in bank account; and (c) bank statements were not timely submitted hence, verification of the Bank Reconciliation Statement prepared could not be possible.

3. Various projects funded under the 20% Development Fund totaling ₱8,318,626.62 of the municipality were not capitalized but recorded as outright expense which is not in consonance with Item No. 2.3 of the DILG Joint Memorandum Circular No. 2017-1; hence, expense is overstated and asset is understated.

D. Summary of Significant Observations and Recommendations

1. The balance of fund transfers from Department of Social Welfare and Development (DSWD) as at December 31, 2017 for the implementation of various programs is not reconciled with the balance per records of DSWD by ₱6,326,304.14, hence the accuracy and reliability of the said account could not be ascertained which is inconsistent with Section 111 of Presidential Decree 1445.

We recommended that Municipal Accountant periodically reconcile its record with DSWD to present fairly the account in the financial statement.

2. Cash advances totaling to ₱14,563,113.51 remained unliquidated at year- end which is not in consonance with Section 89 of Presidential Decree (PD) No. 1445 and Section 5.8 of COA Circular No. 97-002. Further, subsequent cash advances were granted to various employees despite the non-settlement of the previous cash advances which is not in adherence with Section 4.1.2 of COA Circular No. 97-002.

   We recommended that the Municipal Accountant strictly monitor the proper granting, utilization and liquidation of cash advances through compliance with the regulations as provided in COA Circular 97-002 and PD 1445.

   We also recommended that demand letters be sent to those with outstanding cash advances and require its immediate liquidation.

3. Various programs/projects totaling ₱5,032,750.00 were paid thru cash advances of the OIC Municipal Treasurer instead of paying it directly thru check to the payee, which is not in accord with Item 3 of COA Circular 97-002 and Section 93 of Presidential Decree (PD) 1445. Likewise, these funds remained unliquidated at year-end which is inconsistent with Item 5.8 of COA Circular No. 97-002.

   We recommended that the Local Chief Executive not to allow the practice of granting cash advances to the OIC-Municipal Treasurer for disbursements which are not covered in the definition and scope on the granting of cash advance in compliance with Item 3 of COA Circular 97-002, instead instruct the OIC-Municipal Treasurer to effect payment thru check in the name of payee in conformity with Section 93 of PD 1445. Moreover, require the OIC-Municipal Treasurer to settle the said cash advances which have remained unliquidated in conformity with Section 93 of PD 1445.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ -	₱ -	₱ -	₱ -	0%
Current Year	-	-	-	-	0%
Total	₱ -	₱ -	₱ -	₱ -	**0%**
Disallowances					
Prior Years	₱164,300.41	₱ -	₱ 164,300.41	₱ -	100%
Current Years	-	1,600,000.00	-	1,600,000.00	0%
Total	**₱164,300.41**	**₱1,600,000.00**	**₱ 164,300.41**	**₱1,600,000.00**	**9%**
Charges					
Prior Years	₱ -	₱ -	₱ -	₱ -	0%
Current Years	-	-	-	-	0%
Total	₱ -	₱ -	₱ -	₱ -	**0%**

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the Nine (9) audit recommendations in the 2016 Annual Audit Report, four (4) were implemented, three (3) were partially implemented and two (2) were not implemented.